

SECTION B – WRITTEN QUESTIONS (Total: 80 Marks)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 80% of the total marks for this examination.

Question 1 (10 marks – approximately 18 minutes)

Roger is the finance manager of a small trading company. His job duties include most of the time in making decisions to help the company grow and ensure a healthy financial position.

Recently the company has thought of having some small-scale project getting a new order from an Italian fashion designer company and would like Roger to source the short-term finances for the implementation of the small-scale project new order.

Required:

- (a) Identify and explain in detail any **ONE** decision that Roger needs to make as the finance manager of the trading company.
(4 marks)
- (b) State and explain **TWO** short-term finances appropriate for this trading company.
(6 marks)

Question 2 (10 marks – approximately 18 minutes)

Saving the Children ("SC") is a global charitable organization with the mission to help children in need, ensure their welfare and provide free education.

Susan is the executive director of SC. To ensure the smooth operation and efficient and effective use of the funding, she is thinking of developing an accurate, flexible and economical control system so that all of the funding can be used in the right place. Moreover, the information of the volunteers can also be maintained well.

Required:

- (a) State the type of organization SC belongs to and its mission. (2 marks)
- (b) Identify and describe ONE source of funding that SC can obtain. (2 marks)
- (c) Apart from the characteristics of the control systems mentioned in the above information, describe and illustrate any other THREE characteristics of the effective control systems that SC should pay attention to. (6 marks)

Question 3 (10 marks – approximately 18 minutes)

Intelligence Plus ("IP") is a local trading firm. It was founded in 1982 and now there are around 200 employees.

To prepare for the future expansion, IP has posted job advertisement on its official website and other job boards. Over 1,000 applications were received recently, and the HR department is preparing for the selection process.

At the same time, the director of IP wants to review its compensation policy to its employees. At the moment, IP only adopts base compensation.

Required:

- (a) State and describe TWO types of interview questions under structured interview that IP can use and illustrate with ONE interview question for each type. (4 marks)
- (b) Apart from base compensation, HR department would identify and explain to the director of IP any THREE types of monetary rewards that can use. (6 marks)

Question 4 (10 marks – approximately 18 minutes)

Fantastic Goods ("FG") is a company producing and selling new and innovative gadgets in Hong Kong. To increase the market share, FG would like to recruit a new team of employees who would be mainly responsible for generating innovative ideas and producing the new products.

Required:

State and describe the new product development process, and then illustrate the new product development process that FG should focus on.

(10 marks)

Question 5 (20 marks – approximately 36 minutes)

Funny Toys Trading Company ("Funny") is a local leading toy company which manufactures and sells innovative toys to children in the local market. Its vision is to empower the next generation to explore the world of wonder and develop the children to reach their full potential.

Recently, Funny has entered Country A as the top management believes that the parents in Country A would prefer to spend money on their children. Funny launched the products through direct exporting their products to the new market. They decided to keep the original package with all the instructions in English to keep the brand image and standardization of the products. At the same time, Funny is always charged by the local authority that they did not abide by the regulation of selling products as they do not fulfil certain requirements on the product package. Moreover, when Funny wanted to deal with the local distributors, they believed people should be proficient in English but most of the time, the local people prefer to use their local language.

The sales volume was not as high as Funny expected, and the parents are reluctant to buy their products. Instead, they prefer to buy the toys produced by the local toy manufacturers who provide lower price to the customers as they receive a lot of support and subsidies from the local government.

In this situation, Funny would like to think of a way out to resolve the current difficult situation.

Required:

- (a) Except exporting, state and explain TWO other possible ways for Funny to enter Country A if Funny would choose again.
(6 marks)
- (b) Identify and describe any TWO issues faced by Funny when entering Country A for international trade.
(6 marks)
- (c) Funny has employed a local person to be the marketing manager and modified all of their products to fulfil the regulation. State and explain, with TWO examples each, for any TWO elements of the marketing mix for Funny.
(8 marks)

Question 6 (20 marks – approximately 36 minutes)

Eastern Pearl Hotel Group ("EP") is an international hospitality group with different hotel brands over the world. Its vision is to provide exceptional guest experiences and treat them like family members. Thus, a warm and exceptional hotel services should be always guaranteed.

EP has been established for more than 80 years and have won a lot of different awards presented by the prominent hotel associations. Hotel guests always leave positive comments to EP on the travel websites. Employees are considered an important asset to maintain the guest services, but recently EP faced a high staff turnover problem. Employees in and out affects the service quality. Moreover, recent change in the management level also affects the internal policy and stability of the hotel.

Due to the global pandemic, many countries adopt lockdown and travellers cannot travel. This affects the hotel sales, but with its strong financial position and brand, the hotel can still maintain its services.

Moreover, in response to the lower demand of the outbound travellers, EP has begun to focus on local people and offers them special packages of staycation. Staycation seemed to be a new lifestyle among the local people and citizens would like to stay in the hotel to celebrate some special days or events, for example, birthday or anniversary.

Required:

- (a) Define service package. (2 marks)
- (b) State and explain any TWO service elements that EP can focus on. Illustrate each element with an example. (8 marks)
- (c) Define SWOT analysis. (2 marks)
- (d) Based on the scenario, identify the SWOT of EP. (8 marks)

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